Taking Precautions

There are ways, however, to lower the riskiness of small-caps. You can be very picky about what you buy. For one thing, small is good, micro is not. Often, the smaller the stock, the bigger the risk. For the littlest companies, it's like auditioning for a chorus line: one misstep and you're out. I've made it a practice to stay away from the start-ups, the tiny techs, the near-venture-capital situations. I want companies that are established and whose managements have proven, at least thus far, that they know how to run a company.

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I also stay away from marginal, underfinanced companies of any size, despite whatever speculative potential there may be. I insist on financial strength, which excludes most newly minted companies and turnaround situations. Small companies are proverbially squeezed for working capital, so a sound balance sheet is an important factor in sustaining growth.

Look for a company that has carved out a special niche for itself.

I'm always looking for a company with a strong position in its industry, which lowers the risk quotient. A small company is fre-